To understand why a stable account balance does not necessarily translate into sustainable income, we must take a step back to view the spending objective for retirement.

Target-date funds, by design, must be generalized to provide a reasonably close approximation of typical investor needs, so first, DFA sets the spending objective for their target-date income fund of providing support for twenty-five years of inflation-adjusted spending beginning at the target date. Twenty-five years extends beyond the life expectancy for sixty-five-year-olds, but plenty of people live past the age of ninety. However, lengthening time frames requires spending less to stretch assets further, and DFA views twenty-five years as a reasonable compromise between supporting longevity and supporting higher income for the typical investor. Note that defining the retirement goal in this way will allow for a duration to be calculated on the retirement liability. This is an essential ingredient to matching durations and immunizing interest rate risk.

The next step is to recognize which variables have the largest impact on the amount of wealth needed to support twenty-five years of inflation-adjusted spending. General market volatility may be the common focus, but it is important to also assess interest rates and inflation. This is where traditional target-date funds fail to support a retirement spending objective. They rarely coordinate investments sufficiently to provide proper hedging for interest rate and inflation variability.

DFA illustrates this situation by comparing a portfolio of Treasury bills with a portfolio of Treasury Inflation-Protected Securities (TIPS). The former are short-term nominal investments, while the latter—as we discussed earlier—are specifically designed to have a duration that matches the duration of the twenty-five-year spending objective. For a portfolio of Treasury bills, nominal wealth remains fairly stable, with growth provided through short-term interest rates as they fluctuate over time. However, volatility is clearly present when you look at the amount of real retirement spending a portfolio of Treasury bills can sustain. Rising inflation and decreasing real interest rates will decrease the amount of real spending the portfolio can support over twenty-five years. High inflation means that required spending may